



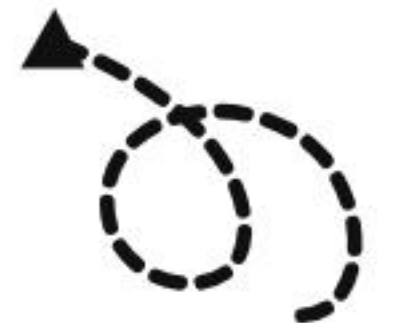
The Hidden FD

Math Guarantees Negative Returns

Inside: The Post-Tax Real Yield Formula



The Illusion of Safe 7% FD Returns



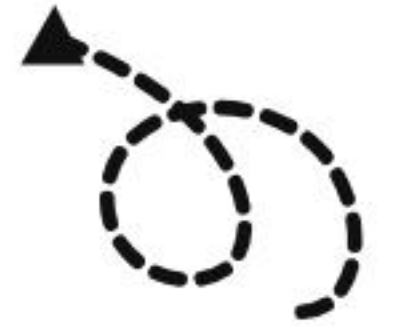
The Myth: Retail investors believe a 7% Bank FD is completely risk-free and guarantees capital preservation.

The Reality: In the 30% tax bracket with 6% inflation, a 7% FD delivers a -1.04% real return annually.

Core Rule: Gross yield creates familiarity. Real net yield creates wealth.



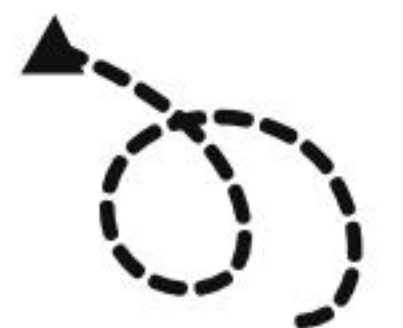
3 Silent Leakages Destroying FD Returns



- 1. Income Tax Cut:** FD interest is taxed at your slab rate, instantly reducing a 7% gross yield down to 4.9% post-tax in the 30% bracket.
- 2. Inflation Erosion:** At 6% benchmark CPI, your 4.9% post-tax cash fails to keep pace, eroding purchasing power by -1.04% each year.
- 3. Compounding Loss:** Tax is extracted annually rather than deferred, destroying the exponential engine of long-term compounding.



The Real Yield Audit Framework



1

AUDIT

Check post-tax yield

2

SUBTRACT

Factor 6% CPI inflation

3

REALLOCATE

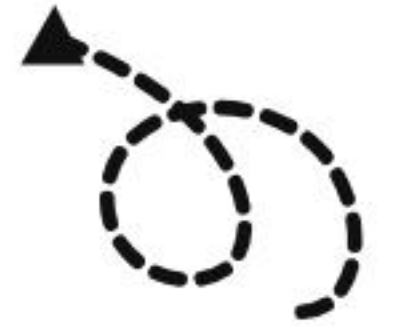
Move to tax-efficient assets

Headline rates hide structural loss.
Tax drag actively erodes net capital.

Takeaway: Audit all ongoing expense ratios, platform charges, and spread costs before investing.



3 Rules Before Locking Capital



1. ****Calculate Post-Tax First****: Never evaluate fixed-income products using gross yields; always deduct your highest marginal tax slab rate.
2. ****Benchmark Real Inflation****: Subtract 6% CPI from your post-tax return to confirm whether your purchasing power is expanding or shrinking.
3. ****Audit Expense Ratios****: Audit all ongoing expense ratios, platform charges, and spread costs before investing in yield products.



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Are your fixed income investments delivering positive real returns post-tax?

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